

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 961

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-602G, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE HOMESTEAD PROPERTY TAX EXEMPTION; AMENDING SECTION 63-701, IDAHO CODE, TO REVISE A DEFINITION AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 63-724, IDAHO CODE, TO REVISE A PROVISION REGARDING HOMEOWNER PROPERTY TAX RELIEF; AMENDING CHAPTER 7, TITLE 63, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 63-725, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE HOMESTEAD PROPERTY TAX REPLACEMENT FUND; AMENDING SECTION 63-3619, IDAHO CODE, TO REVISE A PROVISION REGARDING THE IMPOSITION AND RATE OF THE SALES TAX AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 63-3621, IDAHO CODE, TO REVISE A PROVISION REGARDING THE IMPOSITION AND RATE OF THE USE TAX; AMENDING SECTION 63-3638, IDAHO CODE, TO REVISE A PROVISION REGARDING SALES TAX DISTRIBUTION; AND DECLARING AN EMERGENCY, PROVIDING RETROACTIVE APPLICATION, AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-602G, Idaho Code, be, and the same is hereby amended to read as follows:

63-602G. PROPERTY EXEMPT FROM TAXATION -- HOMESTEAD. (1) For each tax year, ~~the first one hundred twenty-five thousand dollars (\$125,000) of the market value for assessment purposes of the homestead as that term is defined in section 63-701, Idaho Code, or fifty percent (50%)~~ one hundred percent (100%) of the market value for assessment purposes of the homestead as that term is defined in section 63-701, Idaho Code, ~~whichever is the lesser,~~ shall be exempt from property taxation.

(2) The exemption allowed by this section may be granted only if:

(a) The homestead is owner-occupied and used as the primary dwelling place of the owner. The homestead may consist of part of a multidwelling or multipurpose building and shall include all of such dwelling or building except any portion used exclusively for anything other than the primary dwelling of the owner. The presence of an office in a homestead, which office is used for multiple purposes, including business and personal use, shall not prevent the owner from claiming the exemption provided in this section; and

(b) The state tax commission has certified to the board of county commissioners that all properties in the county subject to appraisal by the county assessor have, in fact, been appraised uniformly so as to secure a just valuation for all property within the county; and

(c) The owner has certified to the county assessor that:

(i) He is making application for the exemption allowed by this section;

(ii) The homestead is his primary dwelling place; and

(iii) He has not made application in any other county for the exemption and has not made application for the exemption on any other homestead in the county.

(d) For the purpose of this section, the definition of "owner" shall be the same definition set forth in section 63-701(7), Idaho Code. When an owner, pursuant to the provisions of section 63-701(7), Idaho Code, is any person who is the beneficiary of a revocable or irrevocable trust, or who is a partner of a limited partnership, a member of a limited liability company, or a shareholder of a corporation, he or she may provide proof of the trust, limited partnership, limited liability company, or corporation in the manner set forth in section 63-703(4), Idaho Code.

(e) Any owner may request in writing the return of all copies of any documents submitted with the affidavit set forth in section 63-703(4), Idaho Code, that are held by a county assessor, and the copies shall be returned by the county assessor upon submission of the affidavit in proper form.

(f) For the purpose of this section, the definition of "primary dwelling place" shall be the same definition set forth in section 63-701(8), Idaho Code.

(g) For the purpose of this section, the definition of "occupied" shall be the same definition set forth in section 63-701(6), Idaho Code.

(3) The county assessor of each county shall prescribe and make available forms to be used by a homeowner to apply for the homestead exemption provided in this section. The homeowner shall provide on such forms the homeowner's full name, date of birth, complete address, and most recent previous complete address. The homeowner shall also provide, as applicable, such homeowner's Idaho state-issued driver's license number or Idaho state-issued identification card number, except that such requirement shall not apply to a homeowner in active military service for the initial application for the exemption and during such time as the homeowner meets the qualifications provided in subsection (8) of this section. If the homeowner applying for the exemption provided in this section has not been domiciled in Idaho for at least ninety (90) days and does not have an Idaho state-issued driver's license or Idaho state-issued identification card, the homeowner shall provide an Idaho state-issued driver's license number or an Idaho state-issued identification card number to the county assessor within ninety (90) days of submitting such homeowner's initial application for the exemption.

(4) An owner need make application for the exemption described in subsection (1) of this section only once, as long as all of the following conditions are met:

(a) The owner has received the exemption during the previous year as a result of making a valid application as set forth in subsection (2)(c) of this section.

(b) The owner or beneficiary, partner, member or shareholder, as appropriate, still occupies the same homestead for which the owner made application.

(c) The homestead described in paragraph (b) of this subsection is owner-occupied or occupied by a beneficiary, partner, member or shareholder, as appropriate, and used as the primary dwelling place of the owner or beneficiary, partner, member or shareholder, as appropriate.

1 (5) (a) The exemption allowed by this section shall be effective on the
2 date of eligibility status change provided on the approved application
3 for the current tax year and must be taken before the reduction in taxes
4 provided by sections 63-701 through 63-710, Idaho Code, is applied.

5 (b) If the eligibility status of the property eligible for the exemp-
6 tion changes during the tax year, the property taxes shall be prorated
7 based on the property's eligibility status during the year. The levy
8 rate shall be multiplied against the market value for assessment pur-
9 poses of the property, and the resulting tax due shall be divided by
10 three hundred sixty-five (365) days, or by three hundred sixty-six
11 (366) days if the tax year is a leap year, for the daily tax amount and
12 then multiplied by the number of days of the year such property has a
13 given exemption eligibility status. For an owner who qualifies for the
14 homeowner exemption, the property taxes shall be calculated using the
15 market value for assessment purposes, reduced by the exemption amount
16 provided in subsection (1) of this section. The levy rate shall be
17 multiplied against such value and divided by three hundred sixty-five
18 (365) days, or by three hundred sixty-six (366) days if the tax year is
19 a leap year, and then multiplied by the number of days such person is
20 eligible for the exemption.

21 (c) If the eligibility status of the property changes during the tax
22 year, the taxable value of the homestead or the tax amount shall be ad-
23 justed in one (1) of the following ways:

24 (i) If the property becomes eligible before the second Monday of
25 July, the reduced taxable value shall be entered on the property
26 roll pursuant to section 63-301, Idaho Code, and the homeowner
27 property tax relief roll pursuant to section 63-724(4), Idaho
28 Code;

29 (ii) If the property becomes eligible on or after the second Mon-
30 day of July, property taxes due shall be calculated as provided
31 in paragraph (b) of this subsection and any reduction in property
32 tax will result in a cancellation or refund as provided in section
33 63-1202, Idaho Code;

34 (iii) If the property becomes ineligible for the exemption before
35 the second Monday of July, any additional taxable value shall be
36 entered on the property roll pursuant to section 63-301, Idaho
37 Code, and the homeowner property tax relief roll pursuant to sec-
38 tion 63-724(4), Idaho Code;

39 (iv) If the property becomes ineligible for the exemption on or
40 after the second Monday of July but no later than the fourth Monday
41 of November, the additional value shall be assessed and entered on
42 the subsequent or missed property roll pursuant to the provisions
43 of section 63-301, Idaho Code; or

44 (v) If the property becomes ineligible for the exemption on or af-
45 ter the fourth Monday of November, the tax on the additional value
46 may be calculated as provided in paragraph (b) of this subsection
47 and billed as provided for the recovery of the property tax exemp-
48 tion pursuant to this subsection.

49 (6) Recovery of property tax exemptions allowed by this section but im-
50 properly claimed or approved:

1 (a) (i) Prior to granting an exemption, the county assessor shall
2 investigate whether an applicant for the exemption has claimed the
3 exemption for another homestead and shall not grant the exemption
4 where it appears the exemption has been improperly claimed. The
5 applicant shall be notified of the county assessor's refusal to
6 grant the exemption.

7 (ii) Upon discovery of evidence, facts or circumstances indicat-
8 ing any exemption allowed by this section was improperly claimed
9 or approved, the county assessor shall decide whether the exemp-
10 tion claimed should have been allowed and, if not, notify the tax-
11 payer in writing, assess a recovery of property tax and notify the
12 county treasurer of this assessment. If the county assessor de-
13 termined that an exemption was improperly approved as a result of
14 county error, the county assessor shall present the discovered ev-
15 idence, facts or circumstances from the improperly approved ex-
16 emption to the board of county commissioners, at which time the
17 board may waive a recovery of the property tax and notify such tax-
18 payer in writing.

19 (iii) Upon the first instance of a taxpayer being discovered to
20 have claimed more than one (1) homestead exemption, the taxpayer
21 shall be subject to a penalty, payable to the county treasurer, in
22 an amount equal to the amount of property tax recovered pursuant
23 to subparagraph (ii) of this paragraph, which shall be paid in ad-
24 dition to such recovery amount. The taxpayer shall be notified of
25 the assessment of such penalty at the same time as the notice of the
26 assessor's refusal to grant the exemption in subparagraph (i) of
27 this paragraph.

28 (iv) Any subsequent violation within seven (7) years of an in-
29 stance pursuant to subparagraph (iii) of this paragraph shall be a
30 misdemeanor, subject to the penalties provided in section 18-113,
31 Idaho Code. The county assessor shall notify the county prosecut-
32 ing attorney of any conduct that would constitute a misdemeanor
33 pursuant to this subparagraph.

34 (v) Nothing in this paragraph shall prohibit a taxpayer from
35 claiming a homestead exemption after January 1 for a property that
36 is not already subject to the homestead exemption, provided any
37 claim for an exemption is consistent with the requirements of sub-
38 section (2) (c) (iii) of this section.

39 (b) Upon request by a county assessor conducting an investigation under
40 paragraph (a) of this subsection, or when information indicating that
41 an improper claim for the exemption allowed by this section is discov-
42 ered by the state tax commission, the state tax commission shall dis-
43 close relevant information to the appropriate county assessor, board
44 of county commissioners, county clerk, and county treasurer and to the
45 secretary of state. Information disclosed to county officials and the
46 secretary of state by the state tax commission under this subsection:

47 (i) May be used to decide the validity of any entitlement to the
48 exemption provided in this section;

49 (ii) Shall, as necessary, be used to determine a person's resi-
50 dence for voting purposes under title 34, Idaho Code; and

1 (iii) Is not otherwise subject to public disclosure pursuant to
2 chapter 1, title 74, Idaho Code.

3 (c) The assessment and collection of the recovery of property tax must
4 begin within the seven (7) year period beginning the date the assessment
5 notice reflecting the improperly claimed or approved exemption was re-
6 quired to be mailed to the taxpayer.

7 (d) (i) An applicant for an exemption under this section may appeal
8 to the county board of equalization the county assessor's refusal
9 to grant an exemption pursuant to paragraph (a) of this subsection
10 within thirty (30) days of the date the county assessor sent notice
11 of the refusal.

12 (ii) The taxpayer may appeal to the county board of equalization
13 the decision by the county assessor to assess the recovery of prop-
14 erty tax within thirty (30) days of the date the county assessor
15 sent the notice to the taxpayer pursuant to this section. The
16 board may waive the collection of all or part of any costs, late
17 charges, and interest in order to facilitate the collection of the
18 recovery of the property tax.

19 (iii) The taxpayer may appeal the imposition of the penalty pro-
20 vided in paragraph (a) (iii) of this subsection within thirty (30)
21 days of the date the county assessor sent the notice to the tax-
22 payer pursuant to this section.

23 (e) For purposes of calculating the tax, the amount of the recovered
24 property tax shall be for each year the exemption allowed by this sec-
25 tion was improperly claimed or approved, up to a maximum of seven (7)
26 years. The amount of the recovery of property tax shall be calculated
27 using the product of the amount of exempted value for each year multi-
28 plied by the levy for that year plus costs, late charges, and interest
29 for each year at the rates equal to those provided for delinquent prop-
30 erty taxes during that year.

31 (f) Any recovery of property tax shall be due and payable no later than
32 the date provided for property taxes in section 63-903, Idaho Code, and
33 if not timely paid, late charges and interest, beginning the first day
34 of January in the year following the year the county assessor sent the
35 notice to the taxpayer pursuant to this section, shall be calculated at
36 the current rate provided for property taxes.

37 (g) Recovered property taxes shall be billed, collected and dis-
38 tributed in the same manner as property taxes, except each taxing dis-
39 trict or unit shall be notified of the amount of any recovered property
40 taxes included in any distribution.

41 (h) Thirty (30) days after the taxpayer is notified, as provided in
42 paragraph (a) of this subsection, the assessor shall record a notice
43 of intent to attach a lien. Upon the payment in full of such recov-
44 ered property taxes prior to the attachment of the lien as provided in
45 paragraph (i) of this subsection, or upon the successful appeal by the
46 taxpayer, the county assessor shall record a rescission of the intent to
47 attach a lien within seven (7) business days of receiving such payment
48 or within seven (7) business days of the county board of equalization
49 decision granting the appeal. If the real property is sold to a bona
50 fide purchaser for value prior to the recording of the notice of the in-

1 tent to attach a lien, the county assessor and treasurer shall cease the
2 recovery of such unpaid recovered property tax.

3 (i) Any unpaid recovered property taxes shall become a lien on the real
4 property in the same manner as provided for property taxes in section
5 63-206, Idaho Code, except such lien shall attach as of the first day of
6 January in the year following the year the county assessor sent the no-
7 tice to the taxpayer pursuant to this section.

8 (j) For purposes of the limitation provided by section 63-802, Idaho
9 Code, moneys received pursuant to this subsection as recovery of prop-
10 erty tax shall be treated as property tax revenue.

11 (7) The legislature declares that this exemption is necessary and just.

12 (8) A homestead that previously qualified for exemption under this sec-
13 tion in the preceding year shall not lose such qualification due to: the
14 owner's, beneficiary's, partner's, member's or shareholder's absence in the
15 current year by reason of active military service or because the homestead
16 has been leased because the owner, beneficiary, partner, member or share-
17 holder is absent in the current year by reason of active military service.
18 An owner subject to the provisions of this subsection must apply for the ex-
19 emption with the county assessor every year on or before a deadline date as
20 specified by the county assessor for the county in which the homestead is
21 claimed. If an owner fails to apply on or before the established deadline,
22 the county may, at its discretion, discontinue the exemption for that year.

23 (9) A homestead that previously qualified for exemption under this
24 section in the preceding year shall not lose such qualification due to the
25 owner's, beneficiary's, partner's, member's or shareholder's death during
26 the year of the owner's, beneficiary's, partner's, member's or share-
27 holder's death and the tax year immediately following such death, provided
28 that the homestead continues to be a part of the owner's, beneficiary's,
29 partner's, member's or shareholder's estate. After such time, the new owner
30 shall reapply to receive the exemption pursuant to this section and shall
31 meet the qualification criteria contained in this section.

32 (10) The amount by which each exemption approved under this section ex-
33 ceeds one hundred thousand dollars (\$100,000) may, in the discretion of the
34 governing board of a taxing district, be deducted from the new construction
35 roll for the following year prepared by the county assessor in accordance
36 with section 63-301A, Idaho Code, but only to the extent that the amount ex-
37 ceeds the same deduction made in the previous year.

38 (11) By July 1, 2023, the state tax commission shall establish a data-
39 base of all active exemptions claimed under this section, which database
40 shall be searchable by a person's name and by the address of the homestead
41 for which the exemption is claimed. The database shall be made accessible
42 to officials listed in subsection (6) (b) of this section for the purpose of
43 verifying that:

44 (a) Multiple active exemptions have not been claimed by the same per-
45 son; and

46 (b) A person's residence for voting purposes is the same as the home-
47 stead for which such person has an active exemption pursuant to this
48 section, if an exemption is so claimed.

49 (12) Increases in taxable value resulting from any change in status of
50 a property formerly or newly receiving the homeowner exemption shall be in-

cluded by the county assessor on the property roll or subsequent property roll required pursuant to section 63-301, Idaho Code.

SECTION 2. That Section 63-701, Idaho Code, be, and the same is hereby amended to read as follows:

63-701. DEFINITIONS. As used in this chapter:

(1) "Claimant" means a person who has filed an application under section 63-602G, Idaho Code, and has filed a claim under the provisions of sections 63-701 through 63-710, Idaho Code. Except as provided in section 63-702(2), Idaho Code, on January 1 or before April 15 of the year in which the claimant first filed a claim on the homestead in question, a claimant must be an owner of the homestead, a claimant must have lawful presence in the United States pursuant to section 67-7903, Idaho Code, and on January 1 of said year a claimant must be:

(a) ~~Not less than~~ At least sixty-five (65) years old; ~~or~~

(b) A child under the age of eighteen (18) years who is fatherless or motherless or who has been abandoned by any surviving parent or parents; ~~or~~

(c) A widow or widower; ~~or~~

(d) A disabled person who is recognized as disabled by the social security administration pursuant to title 42 of the United States Code, or by the railroad retirement board pursuant to title 45 of the United States Code, or by the office of management and budget pursuant to title 5 of the United States Code, or, if a person is not within the purview of, and is therefore not recognized as disabled by, any other entity listed in this paragraph, then by the public employee retirement system or public employee disability plan in which the person participates that may be of any state, local unit of government or other jurisdiction in the United States of America; ~~or~~

(e) A disabled veteran of any war engaged in by the United States, whose disability is recognized as a service-connected disability of a degree of ten percent (10%) or more, or who has a pension for nonservice-connected disabilities, in accordance with laws and regulations administered by the United States department of veterans affairs; ~~or~~

(f) A person, as specified in 42 U.S.C. 1701, who was or is entitled to receive benefits because he is known to have been taken by a hostile force as a prisoner, hostage or otherwise; or

(g) Blind.

(2) "Homestead" means the dwelling, owner-occupied by the claimant as described in this chapter and used as the primary dwelling place of the claimant and may be occupied by any members of the household as their home, and so much of the land surrounding it, not exceeding ~~one (1)~~ one-half (1/2) acre, as is reasonably necessary for the use of the dwelling as a home. It may consist of a part of a multidwelling or multipurpose building and part of the land ~~upon~~ on which it is built. "Homestead" does not include personal property such as furniture, furnishings or appliances, but a manufactured home may be a homestead.

(3) "Household" means the claimant and the claimant's spouse. The term does not include bona fide lessees, tenants, or roomers and boarders on con-

tract. "Household" includes persons described in subsection (8) (b) of this section.

(4) "Household income" means all income received by the claimant and, if married, all income received by the claimant's spouse, in a calendar year.

(5) "Income" means the sum of federal adjusted gross income as defined in the Internal Revenue Code, as defined in section 63-3004, Idaho Code, and to the extent not already included in federal adjusted gross income:

(a) Alimony;

(b) Support money;

(c) Nontaxable strike benefits;

(d) The nontaxable amount of any individual retirement account, pension or annuity, including railroad retirement benefits, all payments received under the federal social security act except the social security death benefit as specified in this subsection, state unemployment insurance laws, and veterans disability pensions and compensation, excluding any return of principal paid by the recipient of an annuity and excluding rollovers as provided in 26 U.S.C. 402 or 403, and excluding the nontaxable portion of a Roth individual retirement account distribution, as provided in 26 U.S.C. 408A;

(e) Nontaxable interest received from the federal government or any of its instrumentalities or a state government or any of its instrumentalities;

(f) Worker's compensation; and

(g) The gross amount of loss of earnings insurance.

It does not include gifts from nongovernmental sources or inheritances. To the extent not reimbursed, the cost of medical care as defined in section 213(d) of the Internal Revenue Code, incurred and paid by the claimant and, if married, the claimant's spouse, may be deducted from income. To the extent not reimbursed, personal funeral expenses, including prepaid funeral expenses and premiums on funeral insurance, of the claimant and claimant's spouse only, may be deducted from income up to an annual maximum of five thousand dollars (\$5,000) per claim. "Income" does not include veterans disability pensions received by a person described in subsection (1) (e) of this section who is a claimant or a claimant's spouse if the disability pension is received pursuant to a service-connected disability of a degree of forty percent (40%) or more. "Income" does not include dependency and indemnity compensation or death benefits paid to a person described in subsection (1) of this section by the United States department of veterans affairs and arising from a service-connected death or disability. "Income" does not include lump sum death benefits made by the social security administration pursuant to 42 U.S.C. 402(i). Documentation of medical expenses may be required by the county assessor and state tax commission in such form as the county assessor or state tax commission shall determine. For purposes of this chapter only and in the case of a claimant who owns and whose homestead is a certified family home as defined in section 39-3502, Idaho Code, "income" does not include payments that the claimant received as an enrolled medicaid provider from the medical assistance program. "Income" shall be that received in the calendar year immediately preceding the year in which a claim is filed. Where a claimant and/or the claimant's spouse does not file a federal tax return, the claimant's and/or the claimant's

1 spouse's federal adjusted gross income, for purposes of this section, shall
 2 be an income equivalent to federal adjusted gross income had the claimant
 3 and/or the claimant's spouse filed a federal tax return, as determined by the
 4 county assessor. The county assessor or state tax commission may require
 5 documentation of income in such form as each shall determine, including, but
 6 not limited to: copies of federal or state tax returns and any attachments
 7 thereto; and income reporting forms such as the W-2 and 1099.

8 For determining income for certain married individuals living apart,
 9 the provisions of sections 2(c) and 7703(b) of the Internal Revenue Code
 10 shall apply.

11 (6) "Occupied" means actual use and possession.

12 (7) "Owner" means a person holding title in fee simple or holding a cer-
 13 tificate of motor vehicle title (either of which may be subject to mortgage,
 14 deed of trust or other lien) or who has retained or been granted a life estate
 15 or who is a person entitled to file a claim under section 63-702, Idaho Code.
 16 "Owner" shall also include any person who:

17 (a) Is the beneficiary of a revocable or irrevocable trust which is the
 18 owner of such homestead and under which the claimant or the claimant's
 19 spouse has the primary right of occupancy of the homestead; or

20 (b) Is a partner of a limited partnership, member of a limited liabil-
 21 ity company or shareholder of a corporation if such entity holds title
 22 in fee simple or holds a certificate of motor vehicle title and if the
 23 person holds at least a five percent (5%) ownership in such entity, as
 24 determined by the county assessor; or

25 (c) Has retained or been granted a life estate.

26 "Owner" includes a vendee in possession under a land sale contract. Any
 27 partial ownership shall be considered as ownership for determining initial
 28 qualification for property tax reduction benefits; however, the amount of
 29 property tax reduction under section 63-704, Idaho Code, and rules promul-
 30 gated pursuant to section 63-705, Idaho Code, shall be computed on the value
 31 of the claimant's partial ownership. "Partial ownership," for the purposes
 32 of this section, means any one (1) person's ownership when property is owned
 33 by more than one (1) person or where the homestead is held by an entity, as
 34 set forth in this subsection, but more than one (1) person has the right of
 35 occupancy of such homestead. A person holding either partial title in fee
 36 simple or holding a certificate of motor vehicle title together with another
 37 person, but who does not occupy the dwelling as his primary dwelling place,
 38 shall not be considered an owner for purposes of this section, if such person
 39 is a cosignatory of a note secured by the dwelling in question and at least
 40 one (1) of the other cosignatories of the note occupies the dwelling as his
 41 primary dwelling place. The combined community property interests of both
 42 spouses shall not be considered partial ownership as long as the combined
 43 community property interests constitute the entire ownership of the home-
 44 stead, including where the spouses are occupying a homestead owned by an en-
 45 tity, as set forth in this subsection, and the spouses have the primary right
 46 of occupancy of the homestead. The proportional reduction required under
 47 this subsection shall not apply to community property interests. Where
 48 title to property was held by a person who has died without timely filing a
 49 claim for property tax reduction, the estate of the deceased person shall be
 50 the "owner," provided that the time periods during which the deceased person

1 held such title shall be attributed to the estate for the computation of any
2 time periods under subsection (8) (a) or (b) of this section.

3 (8) (a) "Primary dwelling place" means the claimant's dwelling place
4 on January 1 or before April 15 of the year for which the claim is made.
5 The primary dwelling place is the single place where a claimant has
6 his true, fixed and permanent home and principal establishment, and to
7 which whenever the individual is absent he has the intention of return-
8 ing. A claimant must establish the dwelling to which the claim relates
9 to be his primary dwelling place by clear and convincing evidence or by
10 establishing that the dwelling is where the claimant resided on January
11 1 or before April 15 and:

12 (i) At least six (6) months during the prior year; or

13 (ii) The majority of the time the claimant owned the dwelling if
14 owned by the claimant less than one (1) year; or

15 (iii) The majority of the time after the claimant first occupied
16 the dwelling if occupied by the claimant for less than one (1)
17 year. The county assessor may require written or other proof of
18 the foregoing in such form as the county assessor may determine.

19 (b) Notwithstanding the provisions of paragraph (a) of this subsec-
20 tion, the property upon which the claimant makes application shall be
21 deemed to be the claimant's primary dwelling place if the claimant is
22 otherwise qualified and resides in a care facility and does not allow
23 the property upon which the claimant has made application to be occu-
24 pied by persons paying a consideration to occupy the dwelling. Payment
25 of utilities shall not be payment of a consideration to occupy the
26 dwelling. A claimant's spouse who resides in a care facility shall
27 be deemed to reside at the claimant's primary dwelling place and to
28 be a part of the claimant's household. A care facility is a hospital,
29 nursing facility or intermediate care facility as defined in section
30 39-1301, Idaho Code, or a facility as defined in section 39-3302, Idaho
31 Code, or a dwelling other than the one upon which the applicant makes ap-
32 plication where a claimant who is unable to reside in the dwelling upon
33 which the application is made lives and receives help in daily living,
34 protection and security.

35 SECTION 3. That Section 63-724, Idaho Code, be, and the same is hereby
36 amended to read as follows:

37 63-724. HOMEOWNER PROPERTY TAX RELIEF. (1) It is the intent of the
38 legislature to provide property tax relief on owner-occupied properties in
39 Idaho receiving the homestead property tax exemption pursuant to section
40 63-602G, Idaho Code, as of the second Monday in July each year by providing
41 state moneys as replacement funding as provided in this section. This sec-
42 tion does not apply to occupancy taxes levied pursuant to section 63-317,
43 Idaho Code.

44 (2) For the purpose of this section:

45 (a) "Eligible property taxes" means all property tax levies on homes
46 receiving the homestead property tax exemption pursuant to section
47 63-602G, Idaho Code, as of the second Monday in July each year, ex-
48 cept for bonds, school district levies, plant facility levies, and any
49 voter-approved temporary levy for a specific duration. When calculat-

1 ing the eligible property taxes for the purpose of this section, the
2 taxable value of each property shall include the value of no more than
3 ~~one (1)~~ one-half (1/2) acre.

4 (b) "Homeowner property tax relief homestead" means a property receiv-
5 ing the homestead property tax exemption pursuant to section 63-602G,
6 Idaho Code, as of the second Monday in July each year.

7 (3) There is hereby created in the state treasury the homeowner prop-
8 erty tax relief account. Moneys in this account shall consist of moneys
9 transferred from the general fund and are continuously appropriated for
10 homeowner property tax relief pursuant to the provisions of this section.

11 (4) The county assessor shall prepare a homeowner property tax relief
12 roll, which shall be in addition to all other property rolls. By no later
13 than the first Monday of September each year, the homeowner property tax re-
14 lief roll shall be certified by the county assessor to the county auditor in
15 the manner prescribed by rules promulgated by the state tax commission. The
16 homeowner property tax relief roll shall show:

17 (a) The name of the taxpayer;

18 (b) An accurate description of the homeowner property tax relief home-
19 stead; and

20 (c) The property's current market value for assessment purposes.

21 (5) (a) The county auditor shall complete the homeowner property tax re-
22 lief roll by adding the following information:

23 (i) The immediate prior year's eligible levy for the tax code area
24 in which the property is situated;

25 (ii) The estimated amount of eligible property taxes calculated
26 by applying the levy in subparagraph (i) of this paragraph to the
27 current year's market value for assessment purposes on each quali-
28 fying homestead; and

29 (iii) The total estimated amount of eligible property taxes on
30 all properties within the county that are receiving the homestead
31 property tax exemption as of the second Monday in July of the cur-
32 rent year.

33 (b) By no later than the second Monday of September each year, the
34 county auditor shall certify the completed homeowner property tax re-
35 lief roll to the state tax commission in the manner prescribed by rules
36 promulgated by the state tax commission.

37 (6) The state tax commission shall determine the total number of home-
38 owner property tax relief homesteads to be allowed in each county, the
39 dollar amount of eligible property taxes for each homeowner property tax
40 relief homestead allowed, and the total dollar amount of eligible property
41 taxes for all homeowner property tax relief homesteads within each county
42 from the amounts certified on the homeowner property tax relief roll. Such
43 amounts shall be summed for all eligible property tax relief homesteads in
44 all counties to determine the total amount of estimated eligible property
45 taxes. This sum shall be divided into the amount of moneys in the homeowner
46 property tax relief account as of August 1 of each year. The result shall
47 be multiplied by the total amount of estimated eligible property taxes on
48 such homesteads in each county. This amount shall be certified to the county
49 auditor and tax collector by the state tax commission no later than the third
50 Monday in September. By no later than December 20 of each year, the state

1 tax commission shall pay to the county tax collector of each county the first
2 half of the amount due to each county as reimbursement for homeowner property
3 tax relief as provided in this section and shall pay the second half of such
4 amount by no later than June 20 of the following year.

5 (7) The state tax commission may audit each and every property on the
6 homeowner property tax relief roll. If the state tax commission determines
7 that a homeowner property tax relief homestead credit is erroneous, the
8 state tax commission shall disapprove as much of the credit as necessary in
9 order to conform with statutory standards. The state tax commission shall
10 provide the homeowner written notice of the state tax commission's intent
11 to disapprove all or a portion of the credit. The homeowner shall have
12 twenty-eight (28) days to make written protest to the state tax commission
13 of the intended action. The homeowner may submit additional information and
14 may request an informal hearing with the state tax commission. If the home-
15 owner fails to make written protest within twenty-eight (28) days, the state
16 tax commission shall provide written notice of disapproval to both the home-
17 owner and the county auditor of the county in which the property is situated
18 by December 20. Any homeowner whose claim is disapproved in whole or in part
19 by the state tax commission may appeal such disapproval to the board of tax
20 appeals or to the district court of the county of residence of the taxpayer
21 within thirty (30) days.

22 (8) Each county treasurer shall apply the moneys received pursuant to
23 subsection (6) of this section to the eligible property taxes levied on the
24 properties listed on the certified homeowner property tax relief roll that
25 year. The moneys shall be designated as a line item credit against the to-
26 tal of all eligible property taxes on the property tax bill for each property
27 receiving the tax relief provided by this section. Such moneys shall be dis-
28 tributed in the same manner as property tax revenues.

29 (9) The amount of property tax relief for a homeowner's property taxes
30 shall be applied after the homestead exemption pursuant to section 63-602G,
31 Idaho Code, has been applied. The property tax relief amount cannot exceed
32 the actual amount of current eligible property taxes due on the homeowner's
33 property tax notice. No delinquent property taxes, penalties, interest, or
34 fines may be paid with moneys from this program.

35 (10) Nothing in this section shall prevent a homeowner from applying
36 for or receiving any other property tax relief provided pursuant to this
37 chapter. The property tax relief provided pursuant to this section shall be
38 credited to the homeowner's property tax bill before any other property tax
39 relief is applied, up to a maximum of the actual property taxes due on the
40 homeowner property tax relief homestead.

41 (11) Any amount of homeowner property tax relief moneys distributed by
42 the state tax commission to a county that exceeds the total amount of all el-
43 igible property taxes due from all homeowner property tax relief homesteads
44 in the county shall revert to the state general fund. The county treasurer
45 shall deposit such moneys with the state treasurer by the fourth Monday in
46 July each year for the preceding property tax year.

47 (12) Within three (3) years of payment, the state tax commission may re-
48 cover any erroneous or incorrect payment made to any homeowner receiving re-
49 lief under this section. The deficiency determination, collection, and en-
50 forcement procedures provided in chapter 30, title 63, Idaho Code, shall ap-

ply and be available to the state tax commission for enforcement and collection under this section. Wherever liens or any other proceedings are defined as income tax liens or proceedings, they shall, when applied in enforcement or collection under this section, be described as tax relief liens and proceedings. In connection with this section, a deficiency shall consist of any amount erroneously paid on behalf of a homeowner under this section.

SECTION 4. That Chapter 7, Title 63, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 63-725, Idaho Code, and to read as follows:

63-725. HOMESTEAD PROPERTY TAX REPLACEMENT FUND. (1) It is the intent of the legislature to replace the property tax revenue lost by taxing districts as a result of the expansion of the homestead property tax exemption pursuant to section 63-602G, Idaho Code, with distributions from increased revenue collected from sales and use taxes.

(2) For the purposes of this section:

(a) "Eligible homesteads" means properties receiving the homestead property tax exemption pursuant to section 63-602G, Idaho Code, as of the second Monday in July each year.

(b) "Estimated lost property tax revenue" means the amount of property taxes that would have been collected from eligible homesteads in each taxing district absent the homestead exemption provided in section 63-602G, Idaho Code, as determined from the certified homestead property tax relief roll under section 63-724, Idaho Code.

(3) There is hereby created in the state treasury the homestead property tax replacement fund. Moneys in the fund shall consist of distributions of sales and use tax revenues pursuant to section 63-3638, Idaho Code, and are continuously appropriated for distribution to taxing districts as provided in this section.

(4) Moneys in the homestead property tax replacement fund shall be distributed to taxing districts as follows:

(a) Each county assessor shall provide the certified homestead property tax relief roll to the county auditor in the same manner as provided in section 63-724, Idaho Code.

(b) Each county auditor shall calculate the estimated lost property tax revenue for each taxing district in the county based on the homestead roll provided in section 63-724, Idaho Code, and shall certify such amounts to the state tax commission by no later than the second Monday of September each year.

(c) The state tax commission shall determine the statewide total of estimated lost property tax revenue by summing the certified amounts for all taxing districts in all counties. The state tax commission shall divide the amount of moneys in the homestead property tax replacement fund as of August 1 each year by such statewide total to determine a proration factor. The state tax commission shall multiply the proration factor by each taxing district's certified estimated lost property tax revenue to determine the total annual amount payable to each taxing district. The state tax commission shall certify each taxing district's prorated amount no later than the third Monday in September each year.

(d) By no later than December 20 of each year, the state tax commission shall pay to the county tax collector of each county one-half (1/2) of the total annual amount determined for all taxing districts within that county and shall pay the remaining one-half (1/2) by no later than June 20 of the following year.

(e) Within seven (7) days of receipt of moneys pursuant to paragraph (d) of this subsection, the county treasurer shall distribute to each taxing district within the county its proportionate share as determined by the state tax commission.

(f) Funds distributed under this section shall be treated as property tax revenues for purposes of the budget limitations in section 63-802, Idaho Code.

SECTION 5. That Section 63-3619, Idaho Code, be, and the same is hereby amended to read as follows:

63-3619. IMPOSITION AND RATE OF THE SALES TAX. An excise tax is hereby imposed ~~upon~~ on each sale at retail at the rate of ~~six percent (6%)~~ eight percent (8%) of the sales price of all retail sales subject to taxation under this chapter, and such amount shall be computed monthly on all sales at retail within the preceding month.

(a) The tax shall apply to, be computed on, and collected for all credit, installment, conditional or similar sales at the time of the sale or, in the case of rentals, at the time the rental is charged.

(b) The tax hereby imposed shall be collected by the retailer from the consumer.

(c) The state tax commission shall provide schedules for collection of the tax on sales ~~which that~~ involve a fraction of a dollar. The retailer shall calculate the tax ~~upon~~ on the entire amount of the purchases of the consumer made at a particular time and not separately upon each item purchased. The retailer may retain any amount collected under the bracket system prescribed ~~which that~~ is in excess of the amount of tax for which he is liable to the state during the period as compensation for the work of collecting the tax.

(d) It is unlawful for any retailer to advertise or hold out or state to the public or to any customer, directly or indirectly, that the tax or any part thereof will be assumed or absorbed by the retailer or that it will not be added to the selling price of the property sold or that, if added, it or any part thereof will be refunded. Any person violating any provision of this section is guilty of a misdemeanor.

(e) The state tax commission may by rule provide that the amount collected by the retailer from the customer in reimbursement of the tax be displayed separately from the list price, the price advertised on the premises, the marked price, or other price on the sales slip or other proof of sale.

(f) The taxes imposed by this chapter shall apply to the sales to contractors purchasing for use in the performance of contracts with the United States.

SECTION 6. That Section 63-3621, Idaho Code, be, and the same is hereby amended to read as follows:

1 63-3621. IMPOSITION AND RATE OF THE USE TAX -- EXEMPTIONS. (1) An ex-
2 cise tax is hereby imposed on the storage, use, or other consumption in this
3 state of tangible personal property acquired on or after October 1, 2006, for
4 storage, use, or other consumption in this state at the rate of ~~six percent~~
5 ~~(6%)~~ eight percent (8%) of the value of the property, and a recent sales price
6 shall be presumptive evidence of the value of the property unless the prop-
7 erty is wireless telecommunications equipment, in which case a recent sales
8 price shall be conclusive evidence of the value of the property.

9 (2) Every person storing, using, or otherwise consuming, in this state,
10 tangible personal property is liable for the tax. His liability is not ex-
11 tinguished until the tax has been paid to this state, except that a receipt
12 from a retailer maintaining a place of business in this state or engaged in
13 business in this state given to the purchaser is sufficient to relieve the
14 purchaser from further liability for the tax to which the receipt refers.
15 A retailer shall not be considered to have stored, used, or consumed wire-
16 less telecommunications equipment by virtue of giving, selling, or other-
17 wise transferring such equipment at a discount as an inducement to a consumer
18 to commence or continue a contract for telecommunications service.

19 (3) Every retailer engaged in business in this state and making sales
20 of tangible personal property for the storage, use, or other consumption in
21 this state, not exempted under section 63-3622, Idaho Code, shall, at the
22 time of making the sales or, if storage, use, or other consumption of the tan-
23 gible personal property is not then taxable hereunder, at the time the stor-
24 age, use, or other consumption becomes taxable, collect the tax from the pur-
25 chaser and give to the purchaser a receipt therefor in the manner and form
26 prescribed by the state tax commission.

27 (4) The provisions of this section shall not apply when the retailer
28 pays sales tax on the transaction and collects reimbursement for such sales
29 tax from the customer.

30 (5) Every retailer engaged in business in this state or maintaining a
31 place of business in this state shall register with the state tax commission
32 and give the name and address of all agents operating in this state the loca-
33 tion of all distributions or sales houses or offices or other places of busi-
34 ness in this state and such other information as the state tax commission may
35 require.

36 (6) For the purpose of the proper administration of this act and to
37 prevent evasion of the use tax and the duty to collect the use tax, it shall
38 be presumed that tangible personal property sold by any person for delivery
39 in this state is sold for storage, use, or other consumption in this state.
40 The burden of proving the sale is tax-exempt is on the person who makes the
41 sale, unless he obtains from the purchaser a resale certificate to the effect
42 that the property is purchased for resale or rental. It shall be presumed
43 that sales made to a person who has completed a resale certificate for the
44 seller's records are not taxable and the seller need not collect sales or
45 use taxes unless the tangible personal property purchased is taxable to the
46 purchaser as a matter of law in the particular instance claimed on the resale
47 certificate.

48 (a) A seller may accept a resale certificate from a purchaser prior to
49 the time of sale, at the time of sale, or at any reasonable time after the
50 sale when necessary to establish the privilege of the exemption. The

1 resale certificate relieves the person selling the property from the
2 burden of proof only if taken from a person who is engaged in the busi-
3 ness of selling or renting tangible personal property and who holds the
4 permit provided for by section 63-3620, Idaho Code, or who is a retailer
5 not engaged in business in this state and who, at the time of purchasing
6 the tangible personal property, intends to sell or rent it in the regu-
7 lar course of business or is unable to ascertain at the time of purchase
8 whether the property will be sold or used for some other purpose. Other
9 than as provided elsewhere in this section, when a resale certificate,
10 properly executed, is presented to the seller, the seller has no duty or
11 obligation to collect sales or use taxes in regard to any sales trans-
12 action so documented, regardless of whether the purchaser properly or
13 improperly claimed an exemption. A seller so relieved of the obligation
14 to collect tax is also relieved of any liability to the purchaser for
15 failure to collect tax or for making any report or disclosure of infor-
16 mation required or permitted under this chapter.

17 (b) The resale certificate shall bear the name and address of the pur-
18 chaser, shall be signed by the purchaser or his agent, shall indicate
19 the number of the permit issued to the purchaser or that the purchaser
20 is an out-of-state retailer, and shall indicate the general character
21 of the tangible personal property sold by the purchaser in the regular
22 course of business. The certificate shall be substantially in such form
23 as the state tax commission may prescribe.

24 (c) If a purchaser who gives a resale certificate makes any storage or
25 use of the property other than retention, demonstration, or display
26 while holding it for sale in the regular course of business, the storage
27 or use is taxable as of the time the property is first so stored or used.

28 (7) Any person violating any provision of this section is guilty of a
29 misdemeanor and punishable by a fine not in excess of one hundred dollars
30 (\$100), and each violation shall constitute a separate offense.

31 (8) It shall be presumed that tangible personal property shipped or
32 brought to this state by the purchaser was purchased from a retailer for
33 storage, use, or other consumption in this state.

34 (9) It shall be presumed that tangible personal property delivered out-
35 side this state to a purchaser known by the retailer to be a resident of this
36 state was purchased from a retailer for storage, use, or other consumption in
37 this state. This presumption may be controverted by evidence satisfactory
38 to the state tax commission that the property was not purchased for storage,
39 use, or other consumption in this state.

40 (10) When the tangible personal property subject to use tax has been
41 subjected to a general retail sales or use tax by another state of the United
42 States in an amount equal to or greater than the amount of the Idaho tax, and
43 evidence can be given of such payment, the property will not be subject to
44 Idaho use tax. If the amount paid to the other state was less, the property
45 will be subject to use tax to the extent that the Idaho tax exceeds the tax
46 paid to the other state. For the purposes of this subsection, a registration
47 certificate or title issued by another state or subdivision thereof for a ve-
48 hicle or trailer or a vessel as defined in section 67-7003, Idaho Code, shall
49 be sufficient evidence of payment of a general retail sales or use tax.

(11) The use tax imposed by this section shall not apply to the use by a nonresident of this state of a motor vehicle registered or licensed under the laws of the state of his residence and not used in this state more than a cumulative period of time totaling ninety (90) days in any consecutive twelve (12) months and if none of the buyers listed on the purchase, registration, or title documents are Idaho residents. A nonresident business entity will be held to the same requirements as a nonresident individual to qualify for the exemption provided in this subsection, except that the nonresident business entity also must not be formed under the laws of the state of Idaho. The use tax herein shall also not apply to any use of a motor vehicle registered or licensed under the laws of the state of residence of a nonresident student while such nonresident student is enrolled as a full-time student in an institution of postsecondary education that is both physically located in Idaho and recognized as accredited by the state board of education.

(12) The use tax imposed by this section shall not apply to the use of household goods, personal effects, and personally owned vehicles or personally owned aircraft by a resident of this state if such articles were acquired by such person in another state while a resident of that state and primarily for use outside this state and if such use was actual and substantial; however, if an article was acquired less than ninety (90) days prior to the time he entered this state, it will be presumed that the article was acquired for use in this state and that its use outside this state was not actual and substantial. The use tax imposed by this section shall not apply to the use of household goods, personal effects, and personally owned vehicles or personally owned aircraft by active duty military personnel temporarily assigned in this state and spouses who accompany them if such articles were acquired prior to receipt of orders to transfer to Idaho or ninety (90) days prior to moving to Idaho, whichever time period is shorter. For purposes of this subsection, "resident" shall be as defined in section 63-3013 or 63-3013A, Idaho Code. For purposes of this subsection, wherever the term "individual" appears in section 63-3013 or 63-3013A, Idaho Code, the term includes a natural person or a grantor trust as described in sections 673 through 678 of the Internal Revenue Code.

(13) (a) The use tax imposed by this section shall not apply to the storage, use, or other consumption of tangible personal property that is or will be incorporated into real property and has been donated to and has become the property of:

(i) A nonprofit organization as defined in section 63-36220, Idaho Code;

(ii) The state of Idaho; or

(iii) Any political subdivision of the state.

(b) This exemption applies whether the tangible personal property is incorporated in real property by the donee, a contractor, a subcontractor of the donee, or any other person.

(14) The use tax imposed by this section shall not apply to tastings of food and beverages, including but not limited to wine and beer. For the purposes of this subsection, a tasting of wine and beer shall be defined as the maximum serving allowed by state or federal laws for such occasions provided to a potential customer, at no charge, at a location where like or similar

1 beverages are sold. For nonalcoholic beverages and food, a tasting shall be
2 defined as a sample from a unit available for sale at the tasting location.

3 (15) The use tax imposed by this section shall not apply to donations
4 of food or beverages, or both, to individuals or nonprofit organizations.
5 For the purposes of this section, "nonprofit organization" means those non-
6 profit entities currently registered with the secretary of state pursuant to
7 section 30-30-102, Idaho Code.

8 (16) The use tax imposed by this section shall not apply to a retailer
9 supplying prepared food or beverages free of charge to its employee when that
10 retailer sells prepared food or beverages in its normal course of business.

11 SECTION 7. That Section 63-3638, Idaho Code, be, and the same is hereby
12 amended to read as follows:

13 63-3638. SALES TAX -- DISTRIBUTION. All moneys collected under this
14 chapter, except as may otherwise be required in sections 63-3203, 63-3620F,
15 and 63-3709, Idaho Code, shall be distributed by the state tax commission as
16 follows:

17 (1) (a) An amount of money shall be distributed to the state refund ac-
18 count sufficient to pay current refund claims. All refunds authorized
19 under this chapter by the state tax commission shall be paid through the
20 state refund account, and those moneys are continuously appropriated.

21 (b) Following the distribution required by paragraph (a) of this sub-
22 section, an amount equal to twenty-one and seventy-five hundredths
23 percent (21.75%) of the revenues collected under this chapter shall be
24 distributed to the homestead property tax replacement fund, to be dis-
25 tributed to taxing districts as provided in section 63-725, Idaho Code.

26 (c) Following the distribution required by paragraph (a) of this
27 subsection, an amount equal to three and twenty-five hundredths per-
28 cent (3.25%) of the revenues collected under this chapter shall be
29 distributed to the budget stabilization fund established in section
30 57-814, Idaho Code. The distributions required by this paragraph shall
31 be made after the distributions required by paragraph (a) of this sub-
32 section and prior to any other distributions required by this section.

33 (d) Following the distribution required by paragraph (a) of this sub-
34 section, the distributions required by paragraphs (b) and (c) of this
35 subsection shall be made prior to any other distributions required by
36 this section, and all percentage-based distributions provided for in
37 this section shall be calculated on the remaining revenues collected
38 under this chapter after the distributions required by paragraphs (a),
39 (b), and (c) of this subsection.

40 (2) Five million dollars (\$5,000,000) per year is continuously appro-
41 priated and shall be distributed to the permanent building fund, provided by
42 section 57-1108, Idaho Code.

43 (3) Four million eight hundred thousand dollars (\$4,800,000) per year
44 is continuously appropriated and shall be distributed to the water pollution
45 control fund established by section 39-3628, Idaho Code.

46 (4) An amount equal to the sum required to be certified by the chair-
47 man of the Idaho housing and finance association to the state tax commis-
48 sion pursuant to section 67-6211, Idaho Code, in each year is continuously
49 appropriated and shall be paid to any capital reserve fund established by

1 the Idaho housing and finance association pursuant to section 67-6211, Idaho
2 Code. Such amounts, if any, as may be appropriated hereunder to the capital
3 reserve fund of the Idaho housing and finance association shall be repaid for
4 distribution under the provisions of this section, subject to the provisions
5 of section 67-6215, Idaho Code, by the Idaho housing and finance associa-
6 tion, as soon as possible, from any moneys available therefor and in excess
7 of the amounts the association determines will keep it self-supporting.

8 (5) An amount equal to the sum required by the provisions of sections
9 63-709 and 63-717, Idaho Code, after allowance for the amount appropriated
10 by section 63-718(3), Idaho Code, is continuously appropriated and shall be
11 paid as provided by sections 63-709 and 63-717, Idaho Code.

12 (6) An amount required by the provisions of chapter 53, title 33, Idaho
13 Code.

14 (7) An amount required by the provisions of chapter 87, title 67, Idaho
15 Code.

16 (8) For fiscal year 2011 and each fiscal year thereafter, four million
17 one hundred thousand dollars (\$4,100,000), of which two million two hundred
18 thousand dollars (\$2,200,000) shall be distributed to each of the forty-four
19 (44) counties in equal amounts and one million nine hundred thousand dol-
20 lars (\$1,900,000) shall be distributed to the forty-four (44) counties in
21 the proportion that the population of the county bears to the population of
22 the state. For fiscal year 2012 and for each fiscal year thereafter, the
23 amount distributed pursuant to this subsection shall be adjusted annually
24 by the state tax commission in accordance with the consumer price index for
25 all urban consumers (CPI-U) as published by the U.S. department of labor,
26 bureau of labor statistics, but in no fiscal year shall the total amount
27 allocated for counties under this subsection be less than four million one
28 hundred thousand dollars (\$4,100,000). Any increase resulting from the ad-
29 justment required in this section shall be distributed to each county in the
30 proportion that the population of the county bears to the population of the
31 state. Each county shall establish a special election fund to which shall
32 be deposited all revenues received from the distribution pursuant to this
33 subsection. All such revenues shall be used exclusively to defray the costs
34 associated with conducting elections as required of county clerks by the
35 provisions of section 34-1401, Idaho Code.

36 (9) One dollar (\$1.00) on each application for certificate of title
37 or initial application for registration of a motor vehicle, snowmobile,
38 all-terrain vehicle or other vehicle processed by the county assessor or the
39 Idaho transportation department, excepting those applications in which any
40 sales or use taxes due have been previously collected by a retailer, shall be
41 a fee for the services of the assessor of the county or the Idaho transporta-
42 tion department in collecting such taxes and shall be paid into the current
43 expense fund of the county or state highway account established in section
44 40-702, Idaho Code.

45 (10) Eleven and five-tenths percent (11.5%) of revenues collected un-
46 der this chapter, following any distributions required by sections 63-3203,
47 63-3620F, and 63-3709, Idaho Code, and by subsection (1) of this section, is
48 continuously appropriated and shall be distributed to the revenue-sharing
49 account, which is hereby created in the state treasury, and the moneys in the

1 revenue-sharing account will be paid in installments each calendar quarter
2 by the state tax commission as follows:

3 (a) Forty-five and two-tenths percent (45.2%) shall be paid to the var-
4 ious cities as follows:

5 (i) The revenue-sharing amount calculated by the state tax com-
6 mission for the various cities for each quarter of fiscal year 2020
7 shall be the base amount for current quarterly revenue distribu-
8 tion amounts. The state tax commission shall calculate the per
9 capita distribution for each city resulting from the previous fis-
10 cal year's distributions.

11 (ii) If there is no change in the amount of the revenue-sharing
12 account from the same quarter of the previous fiscal year, then the
13 various cities shall receive the same amount received for the same
14 quarter of the previous fiscal year.

15 (iii) If the balance of the revenue-sharing account for the cur-
16 rent quarter is greater than the balance of the revenue-sharing
17 account for the same quarter of the previous fiscal year, then:

18 1. If the distributions made to the cities during the same
19 quarter of the previous fiscal year were below the base
20 amount established in fiscal year 2020, then the various
21 cities shall first receive a proportional increase up to the
22 base amount for each city and up to a one-percent (1%) in-
23 crease over such base amount. Any remaining moneys shall be
24 distributed to cities with a below-average per capita dis-
25 tribution in the proportion that the population of that city
26 bears to the population of all cities with below-average per
27 capita distributions within the state.

28 2. If the distributions made to the cities during the same
29 quarter of the previous fiscal year were at or above the
30 base amount established in fiscal year 2020, then the cities
31 shall receive the same distribution they received during the
32 same quarter of the previous fiscal year plus a proportional
33 increase up to one percent (1%). Any remaining moneys shall
34 be distributed to the cities with a below-average per capita
35 distribution in the proportion that the population of that
36 city bears to the population of all cities with a below-aver-
37 age per capita distribution within the state.

38 (iv) If the balance of the revenue-sharing account for the cur-
39 rent quarter is less than the balance of the revenue-sharing ac-
40 count for the same quarter of the previous fiscal year, then the
41 cities shall first receive a proportional reduction down to the
42 base amount established in fiscal year 2020. If further reduc-
43 tions are necessary, the cities shall receive reductions based on
44 the proportion that each city's population bears to the population
45 of all cities within the state.

46 (b) Forty-seven and one-tenth percent (47.1%) shall be paid to the var-
47 ious counties as follows:

48 (i) Fifty-nine and eight-tenths percent (59.8%) of the amount to
49 be distributed under this paragraph (b) of this subsection shall
50 be distributed as follows:

1 1. One million three hundred twenty thousand dollars
2 (\$1,320,000) annually shall be distributed one forty-fourth
3 (1/44) to each of the various counties; and

4 2. The balance of such amount shall be paid to the various
5 counties, and each county shall be entitled to an amount in
6 the proportion that the population of that county bears to
7 the population of the state; and

8 (ii) Forty and two-tenths percent (40.2%) of the amount to be dis-
9 tributed under this paragraph (b) of this subsection shall be dis-
10 tributed as follows:

11 1. Each county that received a payment under the provisions
12 of section 63-3638(e), Idaho Code, as that subsection ex-
13 isted immediately prior to July 1, 2000, during the fourth
14 quarter of calendar year 1999, shall be entitled to a like
15 amount during succeeding calendar quarters.

16 2. If the dollar amount of money available under this sub-
17 section (10) (b) (ii) in any quarter does not equal the amount
18 paid in the fourth quarter of calendar year 1999, each
19 county's payment shall be reduced proportionately.

20 3. If the dollar amount of money available under this sub-
21 section (10) (b) (ii) in any quarter exceeds the amount paid
22 in the fourth quarter of calendar year 1999, each county
23 shall be entitled to a proportionately increased payment,
24 but such increase shall not exceed one hundred five percent
25 (105%) of the total payment made in the fourth quarter of
26 calendar year 1999.

27 4. If the dollar amount of money available under this sub-
28 section (10) (b) (ii) in any quarter exceeds one hundred five
29 percent (105%) of the total payment made in the fourth quar-
30 ter of calendar year 1999, any amount over and above such
31 one hundred five percent (105%) shall be paid to the various
32 counties in the proportion that the population of the county
33 bears to the population of the state; and

34 (c) Seven and seven-tenths percent (7.7%) of the amount appropriated in
35 this subsection shall be paid to the several counties for distribution
36 to special purpose taxing districts as follows:

37 (i) Each such district that received a payment under the provi-
38 sions of section 63-3638(e), Idaho Code, as such subsection ex-
39 isted immediately prior to July 1, 2000, during the fourth quarter
40 of calendar year 1999, shall be entitled to a like amount during
41 succeeding calendar quarters.

42 (ii) If the dollar amount of money available under this subsec-
43 tion (10) (c) in any quarter does not equal the amount paid in the
44 fourth quarter of calendar year 1999, each special purpose taxing
45 district's payment shall be reduced proportionately.

46 (iii) If the dollar amount of money available under this subsec-
47 tion (10) (c) in any quarter exceeds the amount distributed under
48 paragraph (c) (i) of this subsection, each special purpose taxing
49 district shall be entitled to a share of the excess based on the
50 proportion each such district's current property tax budget bears

to the sum of the current property tax budgets of all such districts in the state. Each year, starting with the distribution for the quarter ending December 31, the state tax commission shall calculate this distribution based on the district's current property tax budgets, including any unrecovered forgone amounts as determined under section 63-802(1) (e), Idaho Code. When a special purpose taxing district is situated in more than one (1) county, the state tax commission shall determine the portion attributable to the special purpose taxing district from each county in which it is situated.

(iv) If special purpose taxing districts are consolidated, the resulting district is entitled to a base amount equal to the sum of the base amounts received in the last calendar quarter by each district prior to the consolidation.

(v) If a special purpose taxing district is dissolved or disincorporated, the state tax commission shall continuously distribute to the board of county commissioners an amount equal to the last quarter's distribution prior to dissolution or disincorporation. The board of county commissioners shall determine any redistribution of moneys so received.

(vi) Taxing districts formed after January 1, 2001, are not entitled to a payment under the provisions of this paragraph (c) of this subsection.

(vii) For purposes of this paragraph (c) of this subsection, a special purpose taxing district is any taxing district that is not a city, a county, or a school district.

(viii) Special purpose taxing districts shall use funds received under the provisions of this subsection only for the purposes for which the special purpose taxing districts were formed.

(11) Amounts calculated in accordance with section 2, chapter 356, laws of 2001, for annual distribution to counties and other taxing districts beginning in October 2001 for replacement of property tax on farm machinery and equipment exempted pursuant to section 63-602EE, Idaho Code. For nonschool districts, the state tax commission shall distribute one-fourth (1/4) of this amount certified quarterly to each county. For school districts, the state tax commission shall distribute one-fourth (1/4) of the amount certified quarterly to each school district. For nonschool districts, the county auditor shall distribute such amounts to each district within thirty (30) calendar days from receipt of moneys from the state tax commission. Moneys received by each taxing district for replacement shall be utilized in the same manner and in the same proportions as revenues from property taxation. The moneys remitted to the county treasurer for replacement of property exempt from taxation pursuant to section 63-602EE, Idaho Code, may be considered by the counties and other taxing districts and budgeted at the same time, in the same manner, and in the same year as revenues from taxation on personal property, which these moneys replace. If taxing districts are consolidated, the resulting district is entitled to an amount equal to the sum of the amounts received in the last calendar quarter by each district pursuant to this subsection prior to the consolidation. If a taxing district is dissolved or disincorporated, the state tax commission shall continu-

ously distribute to the board of county commissioners an amount equal to the last quarter's distribution prior to dissolution or disincorporation. The board of county commissioners shall determine any redistribution of moneys so received. If a taxing district annexes territory, the distribution of moneys received pursuant to this subsection shall be unaffected. Taxing districts formed after January 1, 2001, are not entitled to a payment under the provisions of this subsection. School districts shall receive an amount determined by multiplying the sum of the year 2000 school district levy minus .004 times the market value on December 31, 2000, in the district of the property exempt from taxation pursuant to section 63-602EE, Idaho Code, provided that the result of these calculations shall not be less than zero (0). The result of these school district calculations shall be further increased by six percent (6%). For purposes of the limitation provided by section 63-802, Idaho Code, moneys received pursuant to this section as property tax replacement for property exempt from taxation pursuant to section 63-602EE, Idaho Code, shall be treated as property tax revenues.

(12) Amounts necessary to pay refunds as provided in section 63-3641, Idaho Code, to a developer of a retail complex shall be remitted to the demonstration pilot project fund created in section 63-3641, Idaho Code.

(13) Amounts calculated in accordance with section 63-602KK(4), Idaho Code, for annual distribution to counties and other taxing districts for replacement of property tax on personal property tax exemptions pursuant to section 63-602KK(2), Idaho Code, which amounts are continuously appropriated unless the legislature enacts a different appropriation for a particular fiscal year. For purposes of the limitation provided by section 63-802, Idaho Code, moneys received pursuant to this section as property tax replacement for property exempt from taxation pursuant to section 63-602KK, Idaho Code, shall be treated as property tax revenues. If taxing districts are consolidated, the resulting district is entitled to an amount equal to the sum of the amounts that were received in the last calendar year by each district pursuant to this subsection prior to the consolidation. If a taxing district or revenue allocation area annexes territory, the distribution of moneys received pursuant to this subsection shall be unaffected. Taxing districts and revenue allocation areas formed after January 1, 2022, are not entitled to a payment under the provisions of this subsection.

(14) For fiscal year 2023 only, a sum of thirty-four million dollars (\$34,000,000) shall be distributed each year by the state tax commission to the forty-four (44) counties in the proportion that the expenditures of each county for indigent defense services during county fiscal year 2021, excluding any state funding or grants, bear to the expenditures of all counties in the state for indigent defense services during county fiscal year 2021, excluding any state funding or grants. No later than July 1, 2022, the state public defense commission shall certify to the state tax commission each county's proportionate share of all counties' indigent defense expenses in county fiscal year 2021, excluding any state funding or grants.

(15) For fiscal year 2024 and each fiscal year thereafter, two and twenty-five hundredths percent (2.25%) of revenues collected under this chapter, following any distributions required by sections 63-3203, 63-3620F, and 63-3709, Idaho Code, and by subsections (1), (10), and (16) of this section, is continuously appropriated and shall be distributed an-

1 nually to the homeowner property tax relief account established in section
2 63-724, Idaho Code.

3 (16) (a) Prior to July 1, 2025, four and five-tenths percent (4.5%) of
4 revenues collected under this chapter, following any distributions re-
5 quired by sections 63-3620F and 63-3709, Idaho Code, and by subsections
6 (1) and (10) of this section, but no less than eighty million dol-
7 lars (\$80,000,000) and no more than one hundred forty million dollars
8 (\$140,000,000), shall be distributed as follows:

9 (i) Eighty million dollars (\$80,000,000) is continuously appro-
10 priated and shall be distributed to the transportation expansion
11 and congestion mitigation fund established in section 40-720,
12 Idaho Code; and

13 (ii) The remaining moneys in excess of eighty million dollars
14 (\$80,000,000) provided for in this subsection is continuously ap-
15 propriated and shall be apportioned to local units of government
16 for local highway projects in the same percentages provided for in
17 section 40-709(1) through (3), Idaho Code. Local units of govern-
18 ment may pool funds allocated to them pursuant to this paragraph
19 for local highway projects.

20 (b) From July 1, 2025, through June 30, 2026, one hundred forty-five
21 million dollars (\$145,000,000) of revenues collected under this chap-
22 ter, following any distributions required by sections 63-3620F and
23 63-3709, Idaho Code, and by subsections (1) and (10) of this section
24 shall be distributed as follows:

25 (i) One hundred million dollars (\$100,000,000) is continuously
26 appropriated and shall be distributed first to the transportation
27 expansion and congestion mitigation fund established in section
28 40-720, Idaho Code; and

29 (ii) The remaining forty-five million dollars (\$45,000,000) pro-
30 vided for in this paragraph is continuously appropriated and shall
31 be apportioned to local units of government for local highway
32 projects in the same percentages provided for in section 40-709(1)
33 through (3), Idaho Code. Local units of government may pool funds
34 allocated to them pursuant to this subparagraph for local highway
35 projects.

36 (c) From July 1, 2026, through June 30, 2027, one hundred sixty-five
37 million dollars (\$165,000,000) of revenues collected under this chap-
38 ter, following any distributions required by sections 63-3620F and
39 63-3709, Idaho Code, and by subsections (1) and (10) of this section
40 shall be distributed as follows:

41 (i) One hundred twenty million dollars (\$120,000,000) is contin-
42 uously appropriated and shall be distributed first to the trans-
43 portation expansion and congestion mitigation fund established in
44 section 40-720, Idaho Code; and

45 (ii) The remaining forty-five million dollars (\$45,000,000) pro-
46 vided for in this paragraph is continuously appropriated and shall
47 be apportioned to local units of government for local highway
48 projects in the same percentages provided for in section 40-709(1)
49 through (3), Idaho Code. Local units of government may pool funds

1 allocated to them pursuant to this subparagraph for local highway
2 projects.

3 (d) Commencing July 1, 2027, and for each fiscal year thereafter, one
4 hundred eighty-five million dollars (\$185,000,000) of revenues col-
5 lected under this chapter, following any distributions required by
6 sections 63-3620F and 63-3709, Idaho Code, and by subsections (1) and
7 (10) of this section shall be distributed as follows:

8 (i) One hundred forty million dollars (\$140,000,000) is contin-
9 uously appropriated and shall be distributed first to the trans-
10 portation expansion and congestion mitigation fund established in
11 section 40-720, Idaho Code; and

12 (ii) The remaining forty-five million dollars (\$45,000,000) pro-
13 vided for in this paragraph is continuously appropriated and shall
14 be apportioned to local units of government for local highway
15 projects in the same percentages provided for in section 40-709(1)
16 through (3), Idaho Code. Local units of government may pool funds
17 allocated to them pursuant to this subparagraph for local highway
18 projects.

19 (17) Beginning in fiscal year 2024 and each fiscal year thereafter,
20 three hundred thirty million dollars (\$330,000,000) shall be distributed
21 annually to the general fund specifically for the public schools educa-
22 tional support program, and eighty million dollars (\$80,000,000) shall be
23 distributed annually to the in-demand careers fund established in section
24 72-1206, Idaho Code. The state tax commission shall make such transfers in
25 quarterly installments.

26 (18) For fiscal year 2024 and each fiscal year thereafter, three
27 and twenty-five hundredths percent (3.25%) of revenues collected under
28 this chapter, following any distributions required by sections 63-3203,
29 63-3620F, and 63-3709, Idaho Code, and by subsections (1), (10), and (16) of
30 this section, is continuously appropriated and shall be distributed annu-
31 ally to the school district facilities fund established pursuant to section
32 33-911, Idaho Code.

33 (19) One hundred twenty-five million dollars (\$125,000,000) collected
34 under this chapter, following any distributions required by sections
35 63-3620F and 63-3709, Idaho Code, and by subsections (1), (10), (15), (16),
36 and (18) of this section is continuously appropriated and shall be dis-
37 tributed to the school modernization facilities fund established in section
38 33-912, Idaho Code. The state tax commission shall make such transfers in
39 quarterly installments.

40 (20) Any moneys remaining over and above those necessary to meet and
41 reserve for payments under other subsections of this section shall be dis-
42 tributed to the general fund.

43 SECTION 8. An emergency existing therefor, which emergency is hereby
44 declared to exist, Sections 1 through 3 of this act shall be in full force
45 and effect on and after passage and approval and retroactively to January 1,
46 2026, and Sections 4 through 7 of this act shall be in full force and effect on
47 and after July 1, 2026.